

Tesla, Inc.  
TSLA NASDAQ

|      |                  |                              |                                      |                       |
|------|------------------|------------------------------|--------------------------------------|-----------------------|
| Hold | \$352.69 ▼ 0.95% | 12M Price Target<br>\$380.00 | 52-Week Range<br>\$297.38 – \$498.83 | Market Cap<br>\$1.39T |
|------|------------------|------------------------------|--------------------------------------|-----------------------|

TSLA: Cybercab Event Looms, FSD Data Ignored

WHAT HAPPENED

- Stock down ~1% despite Tesla publishing data that FSD (Full Self-Driving) has 4.1x fewer crashes than human drivers — the market shrugged, which tells you sentiment is stuck on near-term auto demand, not the long-term autonomy story. When good news gets ignored, that's usually a sign the stock is in "prove it" mode.
- Louder chatter about kicking Tesla out of the "Magnificent 7" (the mega-cap tech leaders like NVDA, MSFT, AAPL) — narrative risk is real. If index-huggers start treating TSLA as a non-core name, passive flows can slowly reverse.

WHY IT MATTERS

Here's the setup: the \$7,500 federal EV tax credit expired under the Trump administration's rollback of Biden-era clean energy incentives, and Tesla's core auto business is now competing without that subsidy tailwind for the first time in years. That's why the stock trades on Cybercab (their robotaxi) and Optimus (humanoid robot) — the auto narrative alone can't support a \$1.39T market cap at 168x forward earnings (meaning investors pay \$168 for every \$1 of profit). The upcoming Cybercab event is do-or-die for the bull case: a credible commercial rollout timeline unlocks the "AI/robotics company" multiple, but any delay pushes people back to valuing this as a car company — which would imply a stock closer to \$200. Big-money option flow is bullish into September (calls outnumbering puts, unusual volume in \$350-355 strikes), so traders are positioning for a pop around the event.

POLICY & POLITICAL WATCH

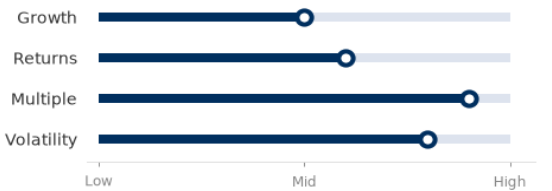
Two policy items matter right now: (1) the federal EV tax credit is gone, which structurally hurts Tesla's US demand — this is already priced in but the margin damage keeps showing up quarterly, and (2) the NHTSA (federal auto safety regulator) investigation into FSD is still open, which is why Tesla is publicly pushing crash-comparison data — they're trying to shape the regulatory narrative before rules get written. Also watch the ongoing US-China tariff situation: Tesla's Shanghai gigafactory is a huge export hub, and any escalation cuts both ways (hurts China sales, but retaliatory tariffs on Chinese EVs help Tesla in the US). Net-net: the regulatory environment got tougher on the demand side but potentially friendlier on the autonomy side, since the Trump admin has signaled it wants to fast-track federal AV (autonomous vehicle) rules to beat China.

IS IT EXPENSIVE?

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$352.69 |
| 12M Price Target    | \$380.00 |
| Upside / (Downside) | +7.7%    |
| Market Cap          | \$1.39T  |
| FY2026E Revenue     | \$112M   |
| FY2027E Revenue     | \$135M   |
| FY2026E EPS         | \$2.10   |
| FY2027E EPS         | \$3.15   |
| Fwd P/E             | 168.0x   |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$400.00  | \$360.00  | \$320.00  |
| 6 Months  | \$460.00  | \$380.00  | \$290.00  |
| 1 Year    | \$520.00  | \$380.00  | \$260.00  |
| 2 Years   | \$650.00  | \$420.00  | \$220.00  |
| 5 Years   | \$900.00  | \$500.00  | \$180.00  |
| 10 Years  | \$1400.00 | \$650.00  | \$150.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Materials (+1.81%) and Comm Services (+1.77%) leading today — Materials benefiting from infrastructure spending optimism, Comm Services riding continued AI capex from the hyperscalers.

**COOLING OFF:** Consumer Discretionary (where TSLA lives) is quietly lagging — the market is worried about the consumer as tariffs work through prices and rates stay higher for longer.

**ROTATION WATCH:** Money is rotating OUT of "story stocks" and into cyclicals with actual earnings — that's a headwind for TSLA specifically because it's the ultimate story stock in the Mag 7.

**RELATED PLAY:** If you believe the autonomy thesis, the picks-and-shovels play is NVDA (chips for AI training) and MBLY (Mobileye, the pure-play AV tech company) — both benefit from AV adoption regardless of who wins.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): AI infrastructure demand still insatiable, and unlike TSLA, they're delivering earnings that match the hype.
- GOOGL (Alphabet): Waymo is quietly running commercial robotaxi service in multiple cities RIGHT NOW — the market is starting to notice this is real, while Tesla is still promising.

**TSLA CONTEXT:** TSLA is lagging the Mag 7 badly YTD and sits at only 27% of its 52-week range — that tells you it's in the penalty box until Musk delivers something concrete. Lagging peers usually means either a coiled spring (if the catalyst hits) or continued underperformance (if it disappoints). No middle ground here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

**CONVICTION:** 6/10 — I'm cautiously constructive but this is a show-me stock right now, not a pound-the-table buy.

**POSITION SIZE:** Keep it 2-3% of portfolio — the binary nature of the Cybercab event means you want exposure but not concentration risk.

**ENTRY POINTS:** I'd add on pullbacks to \$320-340, which has been support. Don't chase strength into the event — buy the fear, not the hype.

**TIME HORIZON:** 12-24 months — you need time for Cybercab commercialization and Optimus milestones to actually show up in numbers.

**WHEN TO BAIL:** If auto gross margins drop below 15%, or if Cybercab gets delayed past 2027, or if Musk announces another major distraction (new company, political role, etc.) — those are the exits.

**HEDGING:** Buy protective puts (insurance contracts that pay off if the stock drops) around the Cybercab event — implied volatility will be juicy but it's cheaper than being wrong on a 20% overnight move.